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CASE #	CASE NAME	HEARING NAME
CVME2500991	SANDOVAL VS AMERICAN HONDA MOTOR CO., INC.	MOTION TO TAX COSTS

Tentative Ruling: Motion to Tax Costs is Denied. OSC re Dismissal after Conditional Settlement is continued to 10-27-26 8:30 am M301.

Except as otherwise expressly provided by statute, the party who prevails in any action or proceeding “is entitled as a matter of right to recover costs.” (C.C.P. § 1032(b).)

Code of Civil Procedure section 1033.5(a) contains a list of items specifically allowed as recoverable costs, and section 1033.5(b) contains a list of items that “are not allowable as costs, except when expressly authorized by law.” An item neither specifically allowable under subdivision (a) nor prohibited under subdivision (b) may be allowed or denied in the discretion of the court if certain requirements are satisfied. (C.C.P. § 1033.5(c)(4).) In particular, the item “shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation” and “shall be reasonable in amount.” (C.C.P. § 1033.5(c)(2) and (3).)

Under the Song-Beverly Act “[i]f the buyer prevails in an action under this section, the buyer shall be allowed by the court as part of the judgment a sum equal to the aggregate amount of costs and expenses, including attorney’s fees based on actual time expended, determined by the court to have been reasonably incurred by the buyer in connection with the commencement and prosecution of such action.” (Civ. Code § 1794(d).) “[I]n enacting Civil Code section 1794, subdivision (d) the Legislature intended the phrase ‘costs and expenses’ to cover items not included in ‘the detailed statutory definition of “costs” ’ set forth in Code of Civil Procedure section 1033.5.” (*Warren v. Kia Motors America, Inc.* (2018) 30 Cal.App.5th 24, 42.) These include out-of-pocket expenses such as filing fees, expert witness fees, and other fees to make litigation accessible to consumers. (*Jensen v. BMW of North America, Inc.* (1995) 35 Cal.App.4th 112, 137-138 [disapproved of on other grounds by *Rodriguez v. FCA US LLC* (2024) 17 Cal.5th 189, 204-205].)

If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. (*Ladas v. California State Automotive Assoc.* (1993) 19 Cal.App.4th 761, 773-774.) “A verified memorandum of costs is prima facie evidence of their propriety,” and the opposing party has the burden to demonstrate that they are not proper. (*Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1266.) A verified memorandum does not require copies of bills, invoices or other documentation to be attached. (*Id.* at 1267.) If the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs. (*Ladas, supra*, 19 Cal.App.4th at 774.)

Here, the underlying action was resolved after Plaintiff accepted Defendant’s § 998 offer. C.C.P. § 998 provides: “Not less than 10 days prior to commencement of trial . . . , any party may serve an offer in writing upon any other party to the action to allow judgment to be taken or an award to be entered in accordance with the terms and conditions stated at that time. The written offer shall include a statement of the offer,

containing the terms and conditions of the judgment or award, and a provision that allows the accepting party to indicate acceptance of the offer by signing a statement that the offer is accepted. Any acceptance of the offer . . . shall be in writing and shall be signed by counsel for the accepting party or, if not represented by counsel, by the accepting party.” (C.C.P. § 998(b) [emphasis added].)

Accordingly, the terms of Defendant’s § 998 offer govern the parties’ settlement, including Plaintiff’s recoverable costs. Although neither party attaches a copy of the § 998 offer, Defendant acknowledges that the offer provided for “Plaintiff’s attorney fees and costs to be resolved by noticed motion or agreement.” (Motion, p. 3.)

Jury Fees. Defendant argues that Plaintiff should not recover \$150.00 in jury fees because the case did not go to trial. However, the trial court considers “whether the costs were reasonably necessary to litigating the case at the time they were incurred.” (*Garcia v. Tempur-Pedic North America, LLC* (2024) 98 Cal.App.5th 819, 902.) Here, Plaintiff posted jury fees on July 22, 2025, but did not accept the C.C.P. § 998 offer until over six months later, on February 11, 2026. Accordingly, the jury fees were reasonably necessary at the time they were incurred.

“Other” Fees – Contract Attorney. Defendant then argues that Plaintiff should not recover \$75.00 for a contract attorney to appear at the Trial Setting Conference, asserting that the expense was merely convenient rather than necessary. However, Plaintiff contends that the charge is substantially less than lead counsel’s hourly rate. (Opp., p. 4.)

Plaintiff’s corresponding motion for attorney fees states that counsel’s fee is \$525/hour, and the attached billing records do not include a claim for appearing at the Trial Setting Conference. (Jacobson Decl. ISO Motion for Attorney Fees, ¶ 6 and Exh. 44.) As such, the only time Plaintiff is charging for the appearance is through its memorandum of costs. “ABA Formal Opinion 00-420 specifically deals with surcharging a client when using a contract attorney” and “directs that if the legal services of a contract attorney are billed to the client as an expense or cost, the client may be charged only the cost directly associated with the services, including expenses incurred by the billing lawyer to obtain and provide the benefit of the contract lawyer’s services. No surcharge is allowed unless the client agrees otherwise.” (*In re Wright* (C.D. Cal. 2003) 290 B.R. 145, 153.) Here, Plaintiff is only claiming \$75.00 as a cost for the appearance of the contract attorney. Accordingly, the cost was reasonably incurred and “reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation,” and therefore allowable under C.C.P. § 1033.5(c)(2).